Session 3: IAS1 / IFRS18 (Presentation of Financial Statements) and IAS8 / IAS10 (Accounting Policies, Estimates, Errors and Events After the Reporting Period)

By the end of this session you must know the objective and components of financial statements under IAS1, IAS1's general features, the structure and content of each primary statement, how IFRS18 changes the statement of profit or loss from 2027, and how IAS8 governs accounting policies, accounting estimates and prior period errors, together with the IAS10 definitions of adjusting and non-adjusting events.

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1. Objective and Components of Financial Statements (IAS1)

1.1 Objective

Objective of general purpose financial statements (IAS1): to provide information about the financial position, financial performance and cash flows of an entity that is useful to a wide range of users in making economic decisions.

- This information is presented in four primary financial statements together with a set of accompanying notes.

1.2 The Five Components

IAS1 identifies five components of a complete set of financial statements:

1. The statement of financial position.
2. The statement of profit or loss and other comprehensive income (for brevity, often referred to simply as the statement of comprehensive income).
3. The statement of changes in equity.
4. The statement of cash flows (governed by IAS7).
5. The notes.

2. General Features Required by IAS1

2.1 Fair Presentation, Going Concern and Accruals

- Financial statements must present fairly the financial position, financial performance and cash flows of the entity to which they relate.
- It is assumed that application of IFRS Accounting Standards will result in a fair presentation, and an entity that complies with IFRS Accounting Standards must make an explicit and unreserved statement to that effect in the notes.

Going concern basis: financial statements are generally prepared on the going concern basis unless the entity intends to cease trading or has no realistic alternative but to do so.

- Financial statements other than the statement of cash flows must be prepared on the accruals basis (the statement of cash flows is, by nature, prepared on a cash basis).

2.2 Materiality, Offsetting, Frequency, Comparability and Consistency

- Materiality is judged with reference to whether omitting, misstating or obscuring an item could reasonably be expected to influence the economic decisions users make on the basis of the financial statements.
- An item that is not individually material may be aggregated with other items, while each material class of similar items must

be presented separately. The requirements of IFRS Accounting Standards need not be applied to items that are immaterial.

- As a general rule, assets and liabilities must be reported separately in the statement of financial position and must not be offset against one another. Similarly, income and expenses must be reported separately in the statement of comprehensive income. This rule does not apply where offsetting is permitted or required by an IFRS Accounting Standard.
- Financial statements should normally be presented at least annually. An entity presenting financial statements for a period longer or shorter than one year must disclose the reason for using that non-standard period, and the fact that the comparative amounts for the previous period are not directly comparable with those for the current period.
- As a minimum, entities must present comparative information for the previous period for all amounts reported in the financial statements. To maintain comparability, the way items are presented and classified should generally remain consistent from one accounting period to the next.
- Financial statements must also identify: the name of the reporting entity. Whether the statements cover a single entity or a group. The date at (or period covered by) the reporting period. The presentation currency used, and the level of rounding applied (e.g. thousands or millions of the reporting currency).

3. Structure and Content of Each Primary Statement

3.1 Statement of Financial Position

- Current and non-current assets must be presented separately from each other, as must current and non-current liabilities.

Current asset: an asset is classified as current if it satisfies any of the following: (a) it is expected to be realised in the entity's normal operating cycle, (b) it is held for the purpose of being traded, (c) it is expected to be realised within 12 months after the reporting period, or (d) it is cash or a cash equivalent as defined by IAS7. All other assets are non-current.

Current liability: a liability is classified as current if it satisfies any of the following: (a) it is due to be settled in the entity's normal operating cycle, (b) it is held for the purpose of being traded, (c) it is due to be settled within 12 months after the reporting period, or (d) the entity does not have the right to defer settlement for at least 12 months after the reporting period. All other liabilities are non-current.

- IAS1 requires certain items to be presented on the face of the statement of financial position, including: property, plant and equipment. Investment property. Intangible assets. Financial assets. Inventories. Trade receivables. Cash and cash equivalents. Trade payables. Provisions. Financial liabilities. Tax assets and liabilities, and equity capital and reserves.
- Two further items may be presented either on the face of the statement or in the notes: sub-classification of line items as appropriate to the entity's operations and/or as required by other IFRS Accounting Standards (e.g. the analysis of property, plant and equipment required by IAS16), and the analysis of share capital and reserves.

3.2 Statement of Comprehensive Income

- All items of income and expense recognised in an accounting period must be presented either in a single statement of comprehensive income, or in two separate statements comprising a statement showing the components of profit or loss and a second statement beginning with profit or loss and showing the components of other comprehensive income.
- Main items to be presented in the statement of comprehensive income include: revenue. Finance costs. Tax expense. Profit or loss from discontinued operations. Profit or loss for the period. Each class of other comprehensive income, and total comprehensive income for the period. The first five of these items may instead be presented in a separate statement of profit or loss.
- Further items of income and expense should be disclosed separately, if material, either on the face of the statement or in the notes.
- An analysis of expenses should also be presented, classified either by the nature of the expenses or by their function within the entity (e.g. cost of sales, distribution costs, administrative expenses). Entities are encouraged to present this analysis on the face of the statement of comprehensive income but may instead present it in the notes.

3.3 Statement of Changes in Equity

- The statement of changes in equity shows how each component of equity has changed during an accounting period, and provides a reconciliation of the opening and closing balance on each component of equity.
- Items presented include: total comprehensive income for the period. Effects of any changes in accounting policies. Share issues, and dividends paid.

Closing balance of equity component = Opening balance + Total comprehensive income for the period ± Effects of changes in accounting policies + Share issues − Dividends paid

where: - each term is tracked separately for every component of equity (e.g. share capital, retained earnings, each reserve). -

reading the formula left to right: start from the opening balance, add the period's total comprehensive income, adjust up or down for any accounting-policy change effects, add any new share issues, then subtract dividends paid. The result is the closing balance for that equity component.

3.4 Notes to the Financial Statements

- The notes must disclose: the entity's material accounting policies. Further information required by IFRS Accounting Standards, and additional information relevant to an understanding of the financial statements.
- The notes are cross-referenced to the statement of financial position, the statement of comprehensive income, the statement of cash flows and the statement of changes in equity.

4. IFRS18. Presentation and Disclosure in Financial Statements

- IFRS18 was issued in April 2024 and supersedes IAS1.
- Entities are required to apply IFRS18 instead of IAS1 for accounting periods beginning on or after **1 January 2027**.
- IFRS18 aims to improve the reporting of financial performance and makes significant changes to the statement of comprehensive income. It also introduces changes to the statement of cash flows (see Session 4) and to the accompanying notes.

4.1 Five Categories of Income and Expense

IFRS18 requires that income and expenses included in the calculation of profit or loss be classified into five categories:

1. **Operating**: business activities.
2. **Investing**: income from interest, dividends and rents.
3. **Financing**: interest expense.
4. **Income taxes**: taxation income or expense.
5. **Discontinued operations**: profit or loss from discontinued operations.

4.2 Required Line Items, Totals and Subtotals

- IFRS18 requires that certain line items be presented in the statement of profit or loss, including: revenue. Operating expenses, with separate line items for cost of sales and for each class of expense. Income tax expense or income, and a single amount for the total of discontinued operations.
- The statement must also provide an analysis of operating expenses, by function or by nature.
- IFRS18 further requires that certain totals and subtotals be presented in the statement of profit or loss, including: operating profit or loss. Profit or loss before financing and income taxes, and profit or loss.
- IFRS18 provides an illustrative example of a statement of profit or loss meeting these requirements.

4.3 Notes: Disclosures on Performance Measures

- IFRS18 also requires disclosures in the notes in relation to performance measures used by management that are not required by IFRS Accounting Standards.
- For each such measure the entity must disclose: a description of the measure. The way in which the measure is calculated, and a reconciliation between the measure and the most directly comparable subtotal that IFRS Accounting Standards require to be disclosed.

5. Accounting Policies (IAS8)

Accounting policies: the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.

Example: one of an entity's accounting policies might be to measure property, plant and equipment at a current valuation rather than at historical cost.

5.1 Selection of Accounting Policies

- An accounting policy should be selected so as to comply with any applicable IFRS Accounting Standard dealing with the transaction or event.
- Where no IFRS Accounting Standard applies, the entity should refer, in descending order of relevance, to:
  1. IFRS Accounting Standards dealing with similar and related issues.

2. The IASB Conceptual Framework.
3. The pronouncements of other standard-setting bodies.
4. Accounting literature and accepted industry practices.

5.2 Changes in Accounting Policies

- An accounting policy may be changed only if the change is required by an IFRS Accounting Standard, or if the change results in reliable and more relevant information.
- If a change in accounting policy results from applying an IFRS Accounting Standard, it is accounted for according to that standard's own transitional provisions (if any).
- Otherwise, the change is accounted for **retrospectively**: comparative figures are adjusted and presented as if the new policy had always been applied.

Disclosure requirements differ by trigger:

- For changes caused by the initial application of an IFRS Accounting Standard, the entity discloses the title of the standard and a description of any transitional provisions in it.
- For voluntary changes in accounting policy, the entity discloses the reasons for making the change.
- For all changes in accounting policy, the entity discloses the nature of the change and the adjustments made in the current period and in each prior period presented.

6. Accounting Estimates and Prior Period Errors (IAS8)

6.1 Accounting Estimates

> **Accounting estimates:** monetary amounts in financial statements that are subject to measurement uncertainty.

- IAS8 states that the use of reasonable estimates is an essential part of preparing financial statements and does not undermine their reliability.
- Changes in accounting estimates are accounted for **prospectively**: comparative figures for prior periods are not restated.

6.2 Prior Period Errors

> **Prior period errors:** omissions from, and misstatements in, the entity's financial statements for one or more prior periods, arising from a failure to use, or misuse of, reliable information that (a) was available when the financial statements for those periods were authorised for issue, and (b) could reasonably be expected to have been obtained and taken into account in preparing and presenting those financial statements.

- Material prior period errors must be corrected **retrospectively**, either by restating comparative figures for the prior period(s) in which the error occurred, or, if the error occurred before the earliest prior period for which comparatives are presented, by restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

Required disclosures for a prior period error are:

- The nature of the error.
- For each prior period presented, the amount of the correction to each affected line item.
- The amount of the correction at the beginning of the earliest prior period presented.
- If retrospective restatement is impracticable for a particular prior period, a description of the circumstances leading to that impracticability and of how (and from when) the error has been corrected.

7. Events After the Reporting Period (IAS10)

> **Event after the reporting period (IAS10, para 3):** an event that occurs after the end of the reporting period but before the date on which the financial statements are authorised for issue.

IAS10 distinguishes two categories:

- **Adjusting events** (IAS10 para 8). Provide evidence of conditions that existed at the end of the reporting period and therefore require the amounts in the financial statements to be adjusted.
- **Non-adjusting events** (IAS10 para 10). Indicative of conditions arising after the reporting period and do not require adjustment of the reported amounts, though material non-adjusting events must be disclosed.

8. Common Mistakes and Exam Traps

- Confusing “notes disclosure of accounting policies” under IAS1 general features with the IAS8 rules on selecting and changing accounting policies. IAS1 requires disclosure of the policies used. IAS8 governs how they are selected and when/how they may change.
- Applying retrospective restatement to a change in accounting estimate. Changes in estimate are always prospective. Only changes in accounting policy and correction of material prior period errors are retrospective.
- Forgetting the current/non-current classification tests are “any of the following” (an “or” test), not cumulative “and” conditions.
- Treating the statement of cash flows as prepared on the accruals basis like the other statements. IAS1 explicitly carves it out. Only the cash flow statement is not prepared on an accruals basis.
- Believing offsetting of assets/liabilities or income/expenses is always prohibited. It is prohibited unless another IFRS Accounting Standard specifically permits or requires it.
- Confusing an adjusting event (evidence existed at period-end, so the financial statements are changed) with a non-adjusting event (arose after period-end, so only disclosed, not adjusted for).
- Assuming IFRS18 replaces IAS1 immediately. It is mandatory only for periods beginning on or after 1 January 2027. IAS1 remains in force until then.
- Forgetting that IFRS18’s five income/expense categories (operating, investing, financing, income taxes, discontinued operations) are a classification of the profit-or-loss statement, distinct from the classification of cash flows into operating/investing/financing activities under IAS7.

9. Must Know Absolutely

Must know:
• IAS1: five components. Statement of financial position, statement of profit or loss and OCI, statement of changes in equity, statement of cash flows, notes
• General features: fair presentation, going concern, accruals (except cash flow statement), materiality/aggregation, no offsetting (unless permitted), ≥annual reporting, comparatives, consistency
• Current asset/liability: satisfies any one of operating-cycle, held-for-trading, 12-month, or (for assets) cash/cash-equivalent tests
• Statement of changes in equity reconciles opening to closing balance per component: + total comprehensive income ± policy-change effects + share issues − dividends
• IFRS18 supersedes IAS1 from periods beginning 1 Jan 2027. Five P&L categories: operating, investing, financing, income taxes, discontinued operations. New mandatory subtotals: operating profit or loss, profit or loss before financing and income taxes, profit or loss. New note disclosures for management-defined performance measures
• IAS8 accounting policy: changed only if required by an IFRS or gives more reliable/relevant information. IFRS-driven changes follow that standard’s transitional provisions, otherwise retrospective
• Accounting estimates: measurement-uncertainty amounts, changes treated prospectively (no restatement)
• Prior period errors: material errors corrected retrospectively (restate comparatives, or opening balances if before earliest period presented)
• IAS10: adjusting events (existed at period-end → adjust) vs non-adjusting events (arose after → disclose only if material)